

Warsaw, December 29, 2022

Decision

DKE.561.30.2022

Based on Article 104 § 1 of the Act of June 14, 1960, the Code of Administrative Procedure (Journal of Laws of 2022, item 2000, as amended) in connection with Article 7 sections 1 and 2, Article 60, Article 101, Article 101a section 2, and Article 103 of the Act of May 10, 2018, on the protection of personal data (Journal of Laws of 2019, item 1781) and based on Article 58 section 2 letter i), Article 83 sections 1-3, Article 83 section 4 letter a) in connection with Article 31 and Article 83 section 5 letter e) in connection with Article 58 section 1 letters a) and e) of the Regulation of the European Parliament and of the Council (EU) 2016/679 of April 27, 2016, on the protection of natural persons in relation to the processing of personal data and on the free movement of such data and repealing Directive 95/46/EC (General Data Protection Regulation) (OJ EU L 119 of 04.05.2016, p. 1, with amendments published in OJ EU L 127 of 23.05.2018, p. 2, and in OJ EU L 74 of 04.03.2021, p. 35), after conducting an ex officio administrative proceeding regarding the imposition of an administrative monetary penalty on S. Sp. z o.o. based in W. at ul. (...), the President of the Personal Data Protection Office,

finding that S. Sp. z o.o. based in W. at ul. (...) violated the provisions of Article 31 and Article 58 section 1 letters a) and e) of the Regulation of the European Parliament and of the Council (EU) 2016/679 of April 27, 2016, on the protection of natural persons in relation to the processing of personal data and on the free movement of such data and repealing Directive 95/46/EC (General Data Protection Regulation), consisting of a lack of cooperation with the President of the Personal Data Protection Office in the performance of his duties and failing to provide the President of the Personal Data Protection Office access to information necessary for the execution of his tasks, imposes on S. Sp. z o.o. based in W. at ul. (...) an administrative monetary penalty in the amount of 36,558 PLN (in words: thirty-six thousand five hundred fifty-eight zlotys).

Justification

Factual Background

On March 5, 2021, the Personal Data Protection Office received information from the President of the Management Board of S. Sp. z o.o. based in W. at ul. (...) (hereinafter referred to as the "Company"), regarding a possible breach of personal data protection in the Company consisting of the theft of personal data by an employee of the Company. The letter containing the above information was sent electronically via the Electronic Platform of Public Administration Services, hereinafter referred to as: "ePUAP"; it was signed electronically by Mr. A. G., the President of the Management Board of the Company (according to the data disclosed in the Register of Entrepreneurs of the National Court Register, hereinafter referred to as "KRS"). In connection with the above, on March 29, 2021, the President of the Personal Data Protection Office (hereinafter referred to as "the President of UODO") informed the Company of the obligations arising from Article 33 sections 1 and 3 of the Regulation of the European Parliament and of the Council (EU) 2016/679 of April 27, 2016, on the protection of natural persons in relation to the processing of personal data and on the free movement of such data and repealing Directive 95/46/EC (General Data Protection Regulation) (OJ EU L 119 of 04.05.2016, p. 1, with amendments published in OJ EU L 127 of 23.05.2018, p. 2, and in OJ EU L 74 of 04.03.2021, p. 35) (hereinafter referred to as "Regulation 2016/679"), i.e., the obligation to notify the President of UODO of a personal data breach. At the same time, the President of UODO informed the Company of possible ways to report a personal data breach to the supervisory authority. Furthermore, the President of UODO requested the Company to provide information on whether, in connection with the above-mentioned possibility of a personal data breach, a risk analysis of the incident had been conducted regarding the risk of infringement of the rights or freedoms of natural persons necessary to assess whether a personal data breach occurred that would require notifying the President of UODO and the individuals concerned about this fact.

In response to the above-mentioned request, on April 7, 2021, the Company reported a personal data breach. The report was made electronically via ePUAP; it was signed electronically by Mr. A. G., the President of the Management Board of the Company.

Since the above report did not contain all the information necessary for the President of UODO to assess the personal data breach that was the subject of the Company's report, the President of UODO – in a letter dated July 8, 2021 – requested the Company to "properly complete all fields of the personal data breach notification form, i.e., to indicate":

- 1) The details of another contact point from which more information about the breach can be obtained (point 2F).
- 2) The number of individuals and entries affected by the breach (point 5).
- 3) The categories of personal data affected by the breach (point 6).
- 4) The categories of individuals affected by the breach (point 7).
- 5) Possible consequences of the breach for the data subject, along with justification for concluding that there was no high risk of infringement of the rights or freedoms of natural persons (point 8).
- 6) Security measures and remedial actions: those currently applied, proposed to minimize the risk of recurrence of the breach and to remedy the breach and minimize the negative effects for the data subjects (point 9).
- 7) Whether the person(s) affected by the breach was (were) notified of the breach (point 10).

This letter, addressed to the registered office of the Company disclosed in the KRS (W. ul. (...)), was received by the addressee on July 13, 2021; however, it remained unanswered by the Company.

In this regard, the President of the UODO, in a letter dated November 19, 2021, again requested the Company to provide the aforementioned information.

In response, the Company sent on November 26, 2021 – via the ePUAP platform – a supplemented notification of the personal data breach with the aforementioned information. In the aforementioned supplemented notification of the breach, the Company indicated the absence of a high level of risk for the infringement of the rights or freedoms of natural persons; therefore, on December 16, 2021, the President of the UODO requested the Company to provide further information necessary to assess the personal data breach that was the subject of the Company's notification, i.e., to provide a risk analysis on the basis of which the Company concluded that there was no high level of risk for the infringement of the rights or freedoms of natural persons. This letter was received by the Company on December 23, 2021, but remained unanswered.

The President of the UODO, in a letter dated March 9, 2022, reiterated the request from December 16, 2021. This letter was received by the addressee on March 14, 2022, and also remained unanswered by the Company.

As of the date of this decision, the Company has not responded to the aforementioned requests from the President of the UODO.

In the letters from the President of the UODO dated December 16, 2021, and March 9, 2022, it was stated that the failure of the Company to provide explanations regarding the risk analysis on the basis of which the Company concluded that there was no high risk of infringement of the rights or freedoms of natural persons may result in the imposition of an administrative monetary penalty on the Company in accordance with Article 83(5)(e) of Regulation 2016/679.

The above factual circumstances were established by the President of the UODO based on the entirety of the official correspondence conducted with the Company, which is collected in the case files under reference DKN.5130.3205.2021. This correspondence documents the entirety of attempts by the President of the UODO to gain access to information necessary to fulfill his duties, that is, in this case – to consider the matter under reference DKN.5130.3205.2021, and on the other hand reflects the lack of response from the Company to the requests of the President of the UODO.

The Company – according to information presented on its website (...) – provides services in the field of selling fabrics and knitwear made from natural, artificial, and synthetic fibers. However, according to the entry in the KRS, its predominant activity is related to the wholesale sale of watches, clocks, and jewelry (PKD code 4648Z). The subject of the Company's remaining activities includes, among others, wholesale trade in electronic and telecommunications equipment (PKD code 4652Z), clothing and footwear (PKD code 4642Z), porcelain, ceramic, and glass products, and cleaning agents (PKD code 4644Z).

Due to the Company's failure to provide the information necessary to resolve the matter under reference DKN.5130.3205.2021, the President of the UODO initiated, ex officio – based on Article 83(4)(a) and Article 83(5)(e) of Regulation 2016/679 – this administrative proceeding (under reference DKE.561.30.2022) regarding the imposition of an administrative monetary penalty on the Company for violating Article 31 and Article 58(1)(a) and (e) of Regulation 2016/679.

The Company was informed of the initiation of the proceedings by a letter dated October 19, 2022, delivered to it on October 21, 2022. By this letter, the Company was summoned – in order to establish the basis for the penalty calculation, based on Article 101a(1) of the Act of May 10, 2018, on the protection of personal data (Journal of Laws of 2019, item 1781), hereinafter referred to as "u.o.d.o." – to provide a financial report or other document presenting the amount of turnover and financial result achieved by it in 2021.

The Company was informed of the still existing possibility of providing explanations (submitting a risk analysis on the basis of which the Company concluded that there was no high risk of infringement of the rights or freedoms of natural persons), which the President of the UODO requested from it in the proceedings under reference DKN.5130.3205.2021, which could mitigate the administrative monetary penalty imposed in this case.

Additionally, the Company was informed of the possibility to express its views before the issuance of the administrative decision regarding the collected evidence and materials and the submitted requests. The Company did not take any action in response to the information about the initiation of these proceedings by the date of this decision.

After considering all the evidence collected in the case, the President of the Personal Data Protection Office weighed the following.

Legal provisions

According to Article 57(1)(a) of Regulation 2016/679, the President of the Personal Data Protection Office (UODO) – as the supervisory authority within the meaning of Article 51 of Regulation 2016/679 – monitors and enforces the application of this regulation within its territory. As part of its competencies, the President of UODO conducts, among other things, proceedings regarding the application of Regulation 2016/679 (Article 57(1)(h)), including proceedings aimed at verifying compliance with the provision of Article 33 of Regulation 2016/679 concerning the reporting of personal data breaches to the supervisory authority (Article 33(5) second sentence of Regulation 2016/679).

In order to enable the realization of the tasks defined in this manner, the President of UODO is entitled to a number of powers specified in Article 58(1) of Regulation 2016/679 regarding the conducted proceedings, including the power to order the data controller and the processor to provide all information necessary for the performance of its tasks (Article 58(1)(a)) and the power to obtain access from the data controller and the processor to all personal data and information necessary for the performance of its tasks (Article 58(1)(e)).

A violation of the provisions of Regulation 2016/679 consisting of the failure by the data controller or processor to provide access to data and information resulting in a violation of the authority's rights as defined in Article 58(1) is subject – in accordance with Article 83(5)(e) in fine of Regulation 2016/679 – to an administrative fine of up to 20,000,000 EUR, and in the case of an enterprise – up to 4% of its total annual worldwide turnover from the previous financial year, with the higher amount being applicable.

Additionally, both the data controller and the processor are obliged, at the request of the supervisory authority, to cooperate with it in the performance of its tasks, as provided for in Article 31 of Regulation 2016/679. Failure to comply with this obligation is subject to – in accordance with Article 83(4)(a) of Regulation 2016/679 – an administrative fine of up to 10,000,000 EUR, and in the case of an enterprise – up to 2% of its total annual worldwide turnover from the previous financial year, with the higher amount being applicable.

According to Article 83(3) of Regulation 2016/679, in the event of a violation by the data controller or processor within the framework of the same or related processing operations of several provisions of this regulation, the total amount of the administrative fine may not exceed the amount of the fine for the

most serious violation.

When assessing whether, and if so, to what extent an administrative fine should be imposed, the supervisory authority is obliged to take into account the following circumstances (criteria for determining the fine) specified in Article 83(2) of Regulation 2016/679:

- a) the nature, gravity, and duration of the infringement, taking into account the nature, scope, or purpose of the processing in question, the number of affected individuals whose data were concerned, and the level of damage suffered by them,
- b) the intentional or negligent character of the infringement,
- c) actions taken by the data controller or processor to mitigate the damage suffered by individuals whose data were concerned,
- d) the degree of responsibility of the data controller or processor, taking into account the technical and organizational measures implemented by them pursuant to Articles 25 and 32,
- e) any relevant previous infringements by the data controller or processor,
- f) the degree of cooperation with the supervisory authority in order to remedy the infringement and mitigate its possible adverse effects,
- g) the categories of personal data affected by the infringement,
- h) the manner in which the supervisory authority became aware of the infringement, in particular, whether and to what extent the data controller or processor reported the infringement,
- i) if measures referred to in Article 58(2) have previously been applied to the data controller or processor in the same matter – compliance with those measures,
- j) the application of approved codes of conduct pursuant to Article 40 or approved certification mechanisms pursuant to Article 42,
- k) any other aggravating or mitigating factors applicable to the circumstances of the case, such as financial benefits directly or indirectly obtained as a result of the infringement or losses avoided.

Furthermore, the supervisory authority – in accordance with Article 83(1) of Regulation 2016/679 – ensures that the administrative fines imposed are effective, proportionate, and dissuasive in each individual case (principles of penalty assessment).

For the purpose of determining the basis for the administrative fine, the entity against which the proceedings for the imposition of an administrative fine are conducted is obliged, at the request of the President of UODO, to provide, within 30 days from the date of receipt of the request, the data necessary to determine that basis (Article 101a(1) of the Personal Data Protection Act).

In the event of failure to provide this data by the entity subject to the penalty, the President of UODO determines the basis for the administrative fine in an estimated manner, taking into account the size of the entity, the specificity of its activities, or publicly available financial data concerning the entity (Article 101a(2) of the Personal Data Protection Act).

According to the provisions of Article 103 of the Personal Data Protection Act, the equivalent amounts expressed in euros referred to in Article 83...

Regulation 2016/679 is calculated in złoty according to the average euro exchange rate announced by the National Bank of Poland in the exchange rate table on January 28 of each year, and in the event that the National Bank of Poland does not announce the average euro exchange rate on January 28 of a given year – according to the average euro exchange rate announced in the nearest exchange rate table of the National Bank of Poland after that date.

****Assessment of the Law****

Referring the above-mentioned provisions of Regulation 2016/679 to the established factual state in this case, it should first be considered whether the Company is the addressee of the obligations referred to in Article 58(1)(a) and (e) of Regulation 2016/679, the violation of which is subject to an administrative monetary penalty under Article 83(5)(e) of Regulation 2016/679. Both provisions of Regulation 2016/679 mentioned above impose procedural obligations – within the proceedings conducted by the President of the Personal Data Protection Office (UODO) – on controllers and processors.

Given that the proceedings with reference number DKN.5130.3205.2021 were initiated based on information about a personal data breach provided by the Company, it should be stated that the Company acts as a controller in this matter. Since the Company is a controller (having informed the President of UODO about the personal data breach at its premises and subsequently reported such a personal data breach on the official form), the President of UODO was entitled – in accordance with Article 58(1)(a) of Regulation 2016/679 – to order it to provide information necessary to assess this breach, and the Company – under Article 58(1)(e) of Regulation 2016/679 – was obliged to provide such information.

The obligation to report a personal data breach – by virtue of the aforementioned provision of Article 33(1) of Regulation 2016/679 – rests solely on the controller – the entity that identifies a breach of the security of the data it processes (data for which it determines the purposes and means of processing).

In the proceedings with reference number DKN.5130.3205.2021, in order to obtain information necessary to assess the reported breach and based on Article 58(1)(a) and (e) of Regulation 2016/679, the President of UODO twice requested the Company to provide a risk analysis. Both letters were received by the Company, which allows for the assumption that it was made aware of the ongoing proceedings before the President of UODO involving it, including the requests directed to it by the authority. Nevertheless, the Company did not provide the information requested by the President of UODO in the proceedings necessary to assess the personal data breach reported by the Company.

This situation was not changed by the initiation of the current proceedings regarding the imposition of an administrative monetary penalty (reference number DKE.561.30.2022). The letter from the President of UODO to the Company dated October 19, 2022, informing about the initiation of this proceeding, also remained unanswered.

It is therefore undisputed that the President of UODO – exercising the power referred to in Article 58(1)(a) of Regulation 2016/679 – directed to the Company – in a manner compliant with the provisions of the Code of Administrative Procedure regulating requests – a demand to provide information necessary to fulfill his tasks. It is also undisputed that the President of UODO did not receive the requested information from the Company, which constitutes a violation of Article 58(1)(e) of Regulation 2016/679.

The Company's conduct of failing to provide the President of UODO with access to the information necessary for him in the proceedings with reference number DKN.5130.3205.2021 simultaneously exhausts the characteristics of a violation of Article 31 of Regulation 2016/679. Cooperation with the supervisory authority in the performance of its tasks, which is the subject of the obligation specified in this provision, also includes (and even primarily) the obligation to present to the authority – at its request – all information held by the controller or processor related to the proceedings conducted by it.

In this case, the request for cooperation referred to in this provision was presented to the Company in two requests for a risk analysis. The Company's failure to respond to these requests undoubtedly constitutes a violation of the obligation imposed on it under Article 31 of Regulation 2016/679.

The above statement is further justified by the fact that the Company did not attempt in any way to justify the lack of response to these requests, nor did it contact the Personal Data Protection Office to signal any doubts it might have regarding the scope of the information requested by the President of UODO.

In light of the above, the President of UODO states that in this case there are grounds justifying the imposition on the Company – under Article 83(4)(a) and Article 83(5)(e) in fine of Regulation 2016/679 – of an administrative monetary penalty in connection with the lack of cooperation with the supervisory authority in the performance of its tasks (Article 31 of Regulation 2016/679) and in connection with the Company's failure to provide access to the information necessary for the President of UODO to fulfill his tasks, namely to assess the personal data breach reported by the Company in the proceedings with reference number DKN.5130.3205.2021 (Article 58(1)(e) of Regulation 2016/679).

At the same time, due to the determination of the Company's violation of two provisions of Regulation 2016/679 (Article 31 and Article 58(1)(e)), in accordance with the provisions of Article 83(3) of this legal act, the President of UODO determined the amount of the imposed administrative monetary penalty not exceeding the amount of the penalty for the most serious of these violations. In the presented factual state, the most serious violation determined by the President of UODO... recognized the violation consisting of the Company's failure to provide access to all information necessary for the performance of its tasks, i.e., the violation of Article 58(1)(e) of Regulation 2016/679, punishable by a fine of up to 20,000,000 EUR, or in the case of an enterprise, up to 4% of its total annual turnover from the previous financial year, depending on which amount is higher.

****Conditions and Principles for the Imposition of Administrative Fines****

Pursuant to Article 83(2) of Regulation 2016/679, administrative fines are imposed depending on the circumstances of each individual case. In each case, a number of criteria listed in points (a) to (k) of the aforementioned provision are taken into account (see point 20 of the justification of this decision). In deciding to impose an administrative fine on the Company in this case and determining its amount, the President of the Personal Data Protection Office (UODO) considered – among them – the following circumstances that negatively affect the assessment of the violation:

****The nature, gravity, and duration of the violation (Article 83(2)(a) of Regulation 2016/679).****

The violation subject to the administrative fine in this case undermines the system aimed at protecting one of the fundamental rights of individuals, which is the right to the protection of their personal data, or more broadly – the right to privacy. An essential element of this system, the framework of which is defined by Regulation 2016/679, is the supervisory authorities, which have been assigned tasks related to the protection and enforcement of individuals' rights in this regard. To enable the realization of these tasks, the supervisory authorities have been equipped with a range of control powers, powers enabling the conduct of administrative proceedings, and remedial powers. On the other hand, data controllers and processors have been imposed, correlated with the powers of the supervisory authorities, specific obligations, including the obligation to cooperate with the supervisory authorities and the obligation to provide these authorities with access to information necessary for the performance of their tasks. The Company's conduct in this case, consisting of ignoring the requests made by the President of UODO, resulting in hindering and unjustifiably prolonging the proceedings conducted by the President of UODO, should therefore be considered as undermining the personal data protection system, and for this reason, it has significant weight and a reprehensible character. The severity of the violation is further increased by the fact that the violation committed by the Company was not an incidental event. The Company's actions are continuous and prolonged. They have been ongoing since the expiration of the 7-day deadline set for presenting a risk analysis of the violation in the request dated December 16, 2021, directed by the President of UODO to the Company in the proceedings with reference number DKN.5130.3205.2021, that is, from December 31, 2021, until the date of this decision.

****The intentional nature of the violation (Article 83(2)(b) of Regulation 2016/679).****

In the opinion of the President of UODO, there was a conscious and deliberate lack of cooperation on the part of the Company in ensuring access to all information necessary for resolving the case, in which the President of UODO had requested them. It should be emphasized that the President of the Company's Management Board, by sending a notification on March 5, 2021, to the Personal Data Protection Office regarding a possible violation of personal data protection in the Company, must have been aware that this action would initiate the actions provided for by Regulation 2016/679 by the President of UODO, and these actions would require contact with the Company. The failure to respond to the correspondence directed to the Company is perceived by the President of UODO as a deliberate action aimed at hindering or even preventing him from assessing the reported violation. It is worth noting that the Company received the requests directed to it, and thus, it should be presumed that the individuals managing the Company were aware of the President of UODO's demands. Therefore, the failure to respond to them must have been the result of a conscious and deliberate decision by those

acting on behalf of the Company. It is also important to emphasize that the letter from the President of UODO dated October 19, 2022, informing about the initiation of these proceedings – in addition to information about the violations committed by the Company – also indicated to the Company that it still had the opportunity to provide the information requested by the President of UODO in the proceedings with reference number DKN.5130.3205.2021. The Company was therefore fully aware of the violation committed and knew how to resolve the state of this violation (to provide the President of UODO with the requested information, i.e., the risk analysis). However, the Company did not respond to this letter either, which should be treated as a conscious and deliberate action, negatively affecting the assessment of the violation established in this case.

****The degree of cooperation with the supervisory authority in order to remedy the violation and mitigate its potential negative effects (Article 83(2)(f) of Regulation 2016/679).****

During these proceedings regarding the imposition of an administrative fine on the Company (reference number DKE.561.30.2022), the Company did not engage in any cooperation with the President of UODO. In particular, the Company did not provide the information requested by the President of UODO in the proceedings with reference number DKN.

DKN.5130.3205.2021, which could be treated as an action aimed at removing the identified violation in this case or mitigating its effects. Such lack of cooperation with the President of the Personal Data Protection Office (UODO) continues to prevent the President of UODO from making a quick and thorough assessment of the violation of personal data protection.

In the opinion of the President of UODO, none of the circumstances referred to in Article 83(2) of Regulation 2016/679 support the mitigation of the established penalty, taking into account the aforementioned aggravating circumstances.

Due to the specific nature of the violation (concerning the relationship between the supervisory authority and the administrator, rather than the administrator and the individuals whose data are concerned), the following circumstances could not be taken into account by the President of UODO in this case:

1. The number of affected individuals and the extent of the damage suffered by them (Article 83(2)(a) of Regulation 2016/679) – due to the fact that the violation (failure of the Company to provide the President of UODO with access to necessary information) is not related to the violation of personal data of any individual, and consequently, no damages occurred on the part of natural persons in this case;
2. Actions taken by the administrator or processor to minimize the damages suffered by the individuals whose data are concerned (Article 83(2)(c) of Regulation 2016/679) – due to the fact that no damages occurred on the part of natural persons, there is no obligation or possibility for the Company to take any actions aimed at minimizing them;
3. The degree of responsibility of the administrator or processor, taking into account the technical and organizational measures implemented by them under Articles 25 and 32 of Regulation 2016/679 (Article 83(2)(d) of Regulation 2016/679) – due to the fact that the violation in its essence is not related to the technical and organizational measures implemented by the Company to ensure the protection of personal data and the security of their processing;
4. The categories of personal data concerned by the violation (Article 83(2)(g) of Regulation 2016/679) due to the fact that the violation is not related to the violation of any personal data.

The remaining circumstances indicated below, referred to in Article 83(2) of Regulation 2016/679, after assessing their impact on the identified violation in this case, were considered by the President of UODO as neutral in his assessment, meaning they have neither an aggravating nor a mitigating effect on the amount of the administrative monetary penalty imposed:

- Any relevant previous violations by the administrator or processor (Article 83(2)(e) of Regulation 2016/679); the President of UODO did not find any previous violations of data protection regulations

committed by the Company, which is why there are no grounds to treat this circumstance as aggravating. And since such a state (compliance with data protection regulations) is a natural state resulting from the legal obligations imposed on the Company, it cannot also have a mitigating effect on the assessment of the violation made by the President of UODO.

- The manner in which the supervisory authority became aware of the violation (Article 83(2)(h) of Regulation 2016/679); the President of UODO obtained information about the violation identified in this case ex officio by analyzing the course of the ongoing proceedings before him under reference number DKN.5130.3205.2021. This is a natural way of obtaining information about such a violation (that is, about the failure to provide access to necessary information) resulting from the competence of the President of UODO to assess the course of this proceeding and to evaluate what information is necessary for him to resolve the case being conducted. Therefore, there are no grounds for a negative assessment of the fact that the information about the violation did not come from the Company; however, this fact cannot also be taken into account in favor of the Company since it did not participate in obtaining the information about the violation by the President of UODO.

- Compliance with previously applied measures in the same case, referred to in Article 58(2) of Regulation 2016/679 (Article 83(2)(i) of Regulation 2016/679); prior to issuing this decision, the President of UODO did not apply any measures listed in Article 58(2) of Regulation 2016/679 against the Company in the examined case, which is why the Company had no obligation to take any actions related to their application, and such actions, evaluated by the President of UODO, could have had an aggravating or mitigating effect on the assessment of the identified violation.

- The application of approved codes of conduct or approved certification mechanisms (Article 83(2)(j) of Regulation 2016/679); the Company does not apply the instruments referred to in Articles 40 and 42 of Regulation 2016/679. However, their adoption, implementation, and application are not mandatory for administrators, as stipulated by the provisions of Regulation 2016/679, which is why the circumstance of their non-application cannot be considered against the Company in this case. On the other hand, the circumstance of adopting and applying such instruments as measures guaranteeing a higher than standard level of protection for processed personal data could be taken into account in favor of the Company.

****Violation of Financial Benefits or Avoided Losses****

(Article 83(2)(k) of Regulation 2016/679)

The President of the UODO did not find that the Company, in connection with the failure to provide the requested information, gained any financial benefits or avoided such losses. Therefore, there are no grounds for treating this circumstance as aggravating for the Company. The determination of measurable financial benefits resulting from the violation of the provisions of Regulation 2016/679 should be assessed decidedly negatively. On the other hand, the Company's failure to achieve such benefits, as a natural state independent of the will and actions of the Company, is a circumstance that, by its very nature, cannot be mitigating for it. This is confirmed by the very wording of Article 83(2)(k) of Regulation 2016/679, which requires the supervisory authority to pay due attention to the benefits "achieved" on the part of the entity committing the violation.

****Other Aggravating or Mitigating Factors****

(Article 83(2)(k) of Regulation 2016/679). The President of the UODO, when considering the case, did not note any circumstances other than those described above that could affect the assessment of the violation and the amount of the imposed administrative fine.

According to the wording of Article 83(1) of Regulation 2016/679, the administrative fine imposed by the supervisory authority should be effective, proportionate, and deterrent in each individual case. In defining the aforementioned principles of imposing administrative fines, reference should be made to the views of the doctrine of law on the protection of personal data. "A sanction is effective if it allows achieving the goal for which it was introduced. A sanction is proportional if it does not exceed the threshold of hardship determined by taking into account the circumstances of the specific case. A sanction is deterrent if it fulfills the considerations of individual and general prevention; in other words, it constitutes a clear signal of disapproval of the violation for society, as well as for the addressee of

the sanction" (P. Litwiński (ed.), Regulation of the European Parliament and Council (EU) 2016/679 of April 27, 2016 [...]; Commentary on Article 83 in: P. Litwiński (ed.) General Regulation on Data Protection. Act on Personal Data Protection. Selected Sectoral Provisions. Commentary). The principles of imposing administrative fines, as defined, require reference to the size, financial capabilities, and market position of the sanctioned entity, and as a measure of these attributes of the sanctioned entity, in the case of a company, Regulation 2016/679 allows for the acceptance of the total annual global turnover from the previous financial year (Article 83(4) and (5) of Regulation 2016/679).

Supplementing this principle, Article 101a(2) of the Personal Data Protection Act states that in the absence of such data, the President of the UODO establishes the basis for calculating the administrative fine based on estimates regarding the size of the entity, the specifics of its activities, or generally available financial data concerning the entity. Reference to the economic potential of the sanctioned entity is necessary because, among other things, a disproportionately low fine in relation to the financial capabilities of the violator (a fine that is practically "invisible" to that entity) will not be effective and deterrent for that entity; on the other hand, a fine that is too burdensome (a fine whose payment threatens the existence of the entity) will not be a proportional fine.

In connection with the above, due to the failure of the Company to provide the financial data requested by the President of the UODO for the year 2021, the assessment of the size of the Company and its economic potential, as the basis for calculating the administrative fine imposed on it, was made by the President of the UODO in an estimated manner – based on generally available financial data concerning the Company for the years 2020-2021.

In determining the amount of the administrative fine imposed by this decision, the President of the UODO took into account the financial data concerning the Company available in the National Court Register (www.gov.pl/web/sprawiedliwosc/przeglادarka-dokumentow-finansowych). The data indicates that the turnover (net sales revenue) of the Company in the last two years for which the Company submitted financial statements to the KRS was: in 2020: PLN 3,025,404.64, in 2021: PLN 2,226,547.47. Meanwhile, the net profit that the Company achieved in 2021 amounted to PLN 828,630.15. The level of revenue achieved in 2021 indicates a stable financial situation of the Company, and the net profit reported during this period indicates a high profitability of the activities conducted by the Company. The Company's activity report indicates that the Company is in good condition, has no overdue obligations to domestic and foreign contractors, as well as to the State Treasury, and maintains financial liquidity.

In determining the amount of the administrative fine imposed by this decision, the President of the UODO considered all three principles indicated in Article 83(1) of Regulation 2016/679 in the context of the presented data describing the size and scale of the Company's operations and its financial situation. In his assessment, a fine of PLN 36,558 corresponds to these principles. Its severity in financial terms will discipline the Company to cooperate properly with the President of the UODO, both in the further course of the proceedings under case number DKN.5130.3205.2021, as well as in any other proceedings conducted in the future involving it before the President of the UODO. In terms of disciplining the Company, the fine will therefore be effective. Due to its severity, it will also serve a deterrent function; it will be a clear signal both for the Company and for society.

Companies, as well as other entities obligated under the provisions of Regulation 2016/679 to cooperate with the President of the Personal Data Protection Office (UODO), that neglecting obligations related to ensuring access to personal data and information necessary for the President of UODO to perform his tasks constitutes a serious violation and, as such, will be subject to financial sanctions. The penalty imposed on the Company in this specific amount, as specified in the ruling of this decision, is also – in the opinion of the President of UODO – proportional to the severity of the established violation and to the Company's ability to bear it (it will not threaten the existence of the Company and the possibility of continuing its current activities). The amount of the administrative monetary penalty specified in the ruling of this decision, equivalent to 8,000 EUR, has been determined in Polish zlotys – in accordance with Article 103 of the Personal Data Protection Act (vide point 23 of the justification of this decision) – using the average exchange rate of the euro from

January 28, 2022 (where 1 EUR equals 4.5697 PLN).

In this factual and legal state, the President of UODO has ruled as stated.

Instruction

The decision is final. According to Article 53 § 1 of the Act of August 30, 2002 on Proceedings Before Administrative Courts (Journal of Laws of 2022, item 329, as amended) (hereinafter "p.p.s.a."), the party has the right to file a complaint to the Provincial Administrative Court in Warsaw within 30 days from the date of its delivery, through the President of the Personal Data Protection Office (address: ul. Stawki 2, 00 - 193 Warsaw). A fee must be paid for the complaint, in accordance with Article 231 in connection with Article 233 of the p.p.s.a. According to Article 74 of the Act of May 10, 2018 on the Protection of Personal Data (Journal of Laws of 2019, item 1781) (hereinafter "u.o.d.o."), filing a complaint by the party to the administrative court suspends the execution of the decision regarding the administrative monetary penalty. In the proceedings before the Provincial Administrative Court, the party has the right to apply for legal aid, which includes exemption from court fees and the appointment of a lawyer, legal advisor, tax advisor, or patent attorney. Legal aid may be granted upon the party's request submitted before the initiation of the proceedings or during the proceedings. The application is free of court fees. According to Article 105 § 1 of the u.o.d.o., the administrative monetary penalty must be paid within 14 days from the expiration of the deadline for filing a complaint to the Provincial Administrative Court, or from the date of the court's decision becoming final, to the bank account of the Personal Data Protection Office at NBP 0/0 Warsaw no. 28 1010 1010 0028 8622 3100 0000. Furthermore, according to Article 105 § 2 of the u.o.d.o., the President of the Personal Data Protection Office may, upon a justified request from the penalized entity, postpone the deadline for payment of the administrative monetary penalty or allow it to be paid in installments. In the case of postponing the deadline for payment of the administrative monetary penalty or allowing it to be paid in installments, the President of the Personal Data Protection Office will charge interest on the unpaid amount at an annual rate, using a reduced late payment interest rate, announced based on Article 56d of the Act of August 29, 1997 - Tax Ordinance (Journal of Laws of 2021, item 1540, as amended), from the day following the submission of the request.

Print article

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